ITCube Solutions Pvt. Ltd. (1Point1 Company)

Technical Proposal

Digital Procurement Platform with AI, Handling of Technical Change Evaluation and SRM

Confidential Document

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1.0	12-Jul-2026	Nikunj, Mallika, Swapneel	Surajit	-	Initial Draft
1.1	15-Jul-2026	Nikunj, Mallika, Swapneel	Surajit	Abdullah	Final review before release.

1. Executive Summary

The proposed solution is an on-premises, secure, AI-enabled procurement and supplier readiness management platform designed to centralize production material procurement data, technical change evaluation, tooling readiness, dashboards, workflows, reporting, and AI-assisted insights. The solution will help the customer move away from manual, Excel-driven, and person-dependent processes toward a governed digital platform with structured data, automated reminders, approval workflows, auditability, and management-ready outputs.

About ITCube Solutions

ITCube Solutions Pvt. Ltd. (a 1Point1 Company) is a software development and consulting company established in 2003. Based out of Pune, India with Office in the United States, ITCube offers its global clients a complete life-cycle product and project development, AI/ML solutions, right from requirements stage, to design, implementation, testing, review, and project management. ITCube provides professional staffing, QA/testing, design, specialized services in Microsoft based application development. The company's clients are in Europe, North America and in the Asia Pacific region.

ITCube believes in developing long-standing, mutually benefiting relationships with clients by delivering high quality, on time and on-budget information technology solutions. At ITCube we are particularly proud of the strong relationships we have built with our clients and partners. Our investment in understanding client requirements, managing development processes and providing uncompromising services has enabled us to establish long term relationships that are invaluable to our client's success. ITCube is frequently commended by its clients for the standard of its work, and as a partner they can trust. Our ISO 9001:2015, ISO/IEC 27001:2013, SOC1, and SOC2 certifications further demonstrate our commitment to quality and security. You can trust that your data and business are always in safe hands with us

Glossary

Term	Definition
AEKO	Änderungskoordination — the change-coordination process/request type for technical changes to parts (German-origin abbreviation used across VW Group).
AWE	A specific technical-change request type (Änderung während Entwicklung — change during development), tracked alongside AEKO and AeA.

AeA	A technical-change request type used within the same change-management family as AEKO/AWE.
AI	Artificial Intelligence — used here for the chatbot, forecasting, and auto-report-generation capabilities of the platform.
AIS	Appropriate IT Solution — the name used for the proposed digital platform covering Procurement, Technical Change, and SRM.
AMC	Annual Maintenance Contract — the ongoing support/maintenance commercial arrangement after go-live.
B-Approval / B-Release / B-Frei	Milestone stages in the vehicle programme timeline representing design/release freeze points ahead of production.
BG / FC	Budget (Business Guidance) vs. Forecast — the two cost baselines compared in the Material Cost Dashboard "cost walk."
BOM	Bill of Materials — the structured list of parts that make up a vehicle or assembly.
BRD	Business Requirements Document — the formal document capturing agreed business requirements before solution design begins.
CAPEX	Capital Expenditure — investment cost, typically for tooling.
CBD	Cost Breakdown — the detailed cost structure of a part (material, weight, VSI, target, D&D, etc.), down to child-part level.
Change Request (CR)	A formal request to modify a part, supplier, price, or business share, routed through an approval workflow.
Commodity	A raw-material category (e.g., steel, aluminium, copper) whose price movement affects part costing.
D&D	Design & Development cost — amortised engineering cost included in a part's cost breakdown.
Dev / Test / Prod	The three standard, isolated software environments (Development, Testing, Production) used to build, validate, and run the platform safely.

EBON	The customer's Purchase Order / ERP-linked system referenced for PO creation, mass data updates, and pricing sync.
EKL	Targeted procurement/cost planning entry made by the Buyer (used in commodity and price-planning workflows).
Escalation Ladder	The defined sequence of reminders and hand-offs (e.g., 4 reminders → Head) used to force resolution of overdue actions.
Fakum	A colour-code / variant identifier for a part, mapped against its base part number.
FR	Functional Requirement — a numbered requirement (e.g., FR-01) traceable back to the original requirements document.
FX / Forex	Foreign Exchange — currency rate movement affecting imported-part and commodity pricing.
KTM	The supplier/tooling readiness management framework under which SRM parts and milestones are organised.
MOD Sheet	A standard pricing-change document format, auto-populated by the system with current prices and overwritten (in a controlled way) with new negotiated prices.
MoSCoW	A prioritisation scale — **M**ust, **S**hould, **C**ould (and **W**on't) — used to rank feature importance.
NFR	Non-Functional Requirement — a requirement about how the system behaves (security, performance, availability) rather than what it does.
OCR	Optical Character Recognition — technology to extract text/data from scanned (image-based) documents.
On-Prem	On-premises — software hosted on the customer's own infrastructure rather than a public cloud.
PKI	Public Key Infrastructure — a certificate-based authentication method, often paired with SSO.
PO	Purchase Order.
PPAP	Production Part Approval Process — a formal supplier sign-off milestone confirming a part is ready for production.

PVS	Produktionsversuchsserie (production trial series) — a pre-series production milestone in the vehicle programme timeline.
RBAC	Role-Based Access Control — restricting system access/actions based on a user's assigned role.
RFP	Request for Proposal — the customer's document inviting vendors to propose a solution (source of the "RFP Requirements Assistance" document).
RFQ	Request for Quotation — the customer's formal requirement + pricing-ask document this proposal responds to.
RGY	Red / Yellow / Green — a traffic-light status convention used for readiness scoring.
Sourcing Report	A periodic (typically monthly) Excel export listing decided/sourced parts and their attributes, ingested into the platform.
SOP	Start of Production — the milestone marking the beginning of full-scale vehicle production.
SRM	Supplier Readiness Management — the module tracking supplier/tooling milestones ahead of SOP.
SSO	Single Sign-On — one login granting access across integrated systems.
TCP	Technical/Testing Coordination Party (or equivalent stakeholder team) alerted alongside Quality and Logistics during SRM milestone tracking.
UAT	User Acceptance Testing — the phase where business users validate the system before go-live.
VFF	Vorserienfahrzeug-Freigabe (pre-series vehicle release) — an early pre-production milestone.
VSI	A target/reference cost value used as the baseline for tracking price variance on a part.
Workflow Number	A unique, system-generated identifier assigned to every change request or approval instance for traceability and audit.

0-Series	The final pre-production milestone stage immediately before SOP.

2. Understanding of Requirement

1. Centralize procurement, production material, investment, tooling, supplier readiness, and technical change data.
2. Digitize sourcing reports, cost breakdowns, master data, BOM at SOP, benchmarking data, commodity prices, and imported part pricing.
3. Automate reminders, approvals, escalations, email logs, rejection logs, and workflow numbering.
4. Enable AI chatbot-based responses for price movement, material cost, investment cost, benchmarking, tooling readiness, commodity risk, forex risk, and yearly savings.
5. Generate dashboards, reports, and PowerPoint/PDF outputs for procurement, finance, SRM, and management users.
6. Deploy the solution on-premises with SSO/PKI, role-based access control, data security, encryption, and Dev/Test/Production environments.

Key pain areas:

- Manual tracking of part price movement.
- Manual tracking of tooling and investment status.
- Manual preparation of management reports and presentations.
- Information scattered across users, Excel files, emails, and reports.
- Limited structured historical data availability.
- High dependency on specific individuals.
- Risk of data loss and inconsistent updates.

3. Proposed Solution Overview

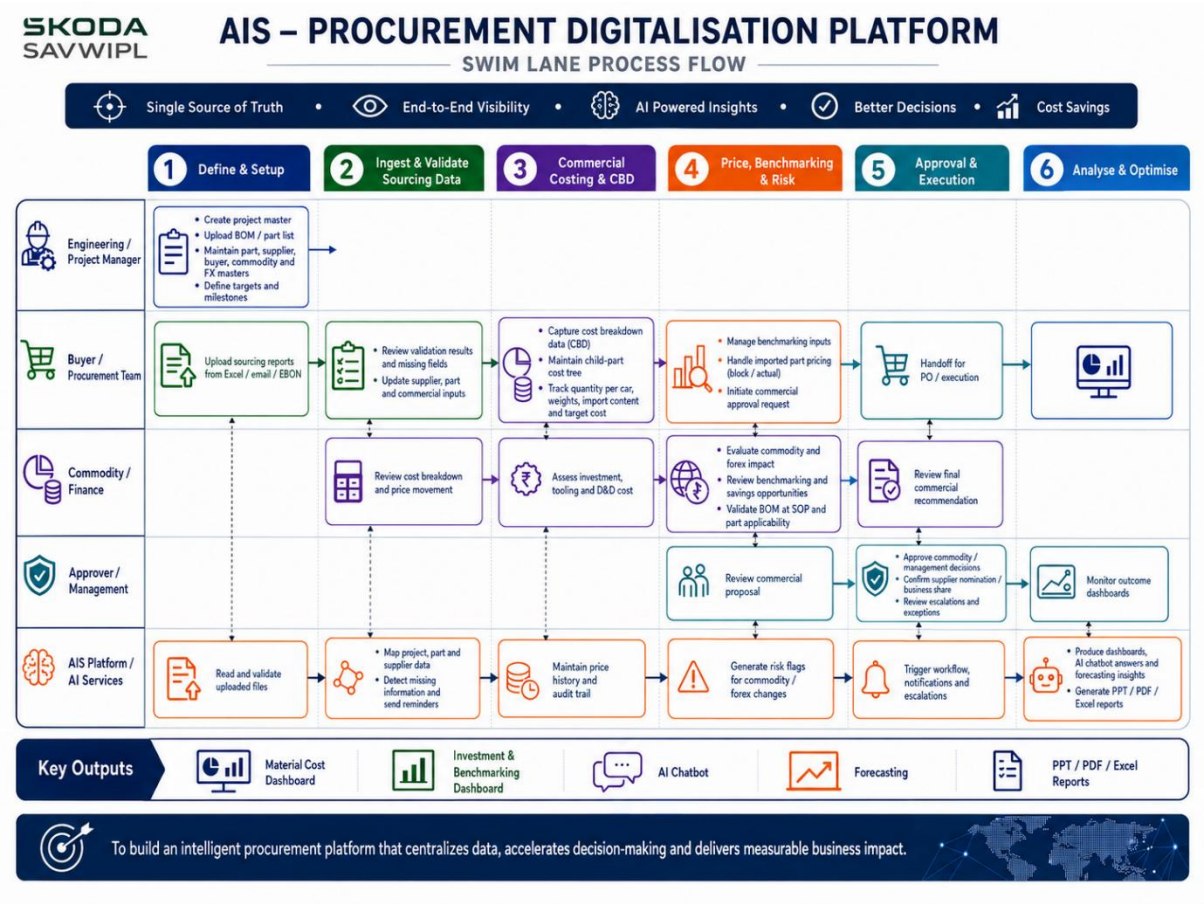
The proposed platform will act as a single digital procurement and SRM knowledge base. It will include structured modules for procurement digitalisation, technical change evaluation, and supplier readiness management. The platform will ingest data through manual entry, Excel upload, mass upload, and email-based upload, and will make the information available through dashboards, workflows, reports, and AI-powered query responses.

4. Functional Scope

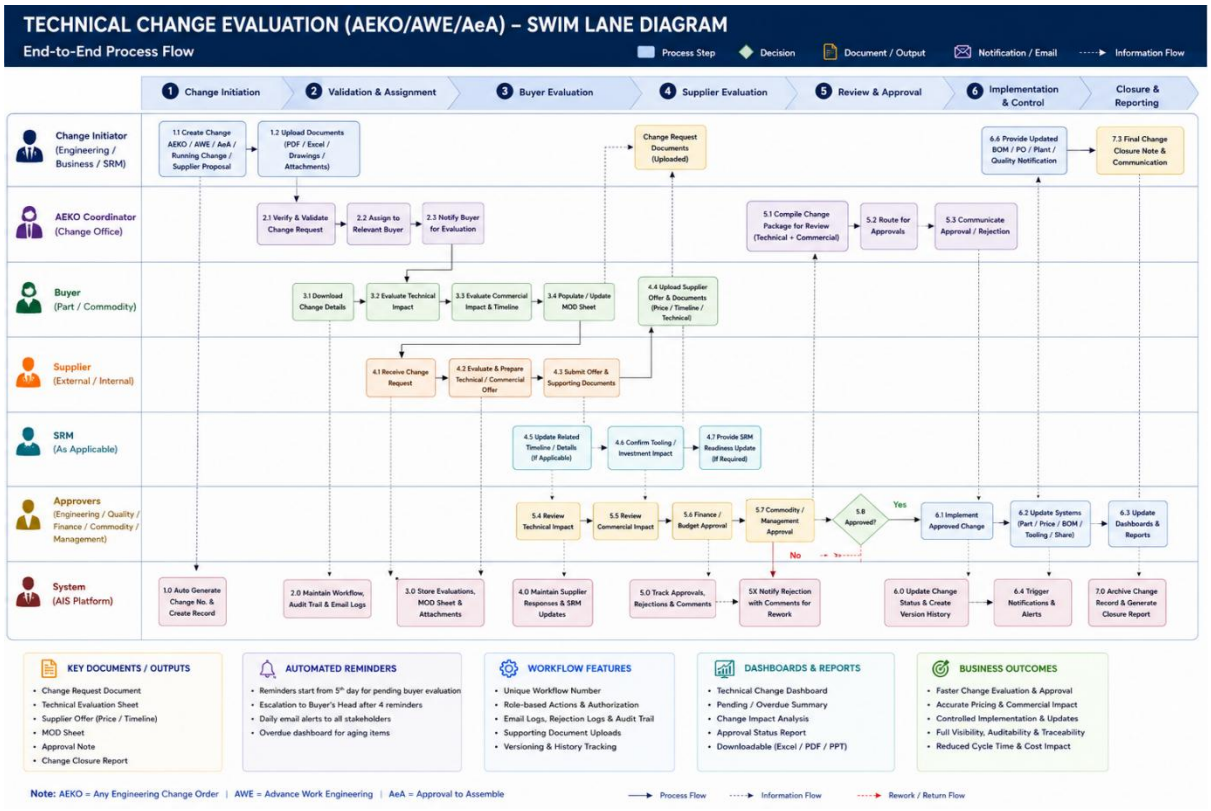
Module	Scope Summary
Procurement Digitalization	Project master, exchange rate master, sourcing report ingestion, buyer/project user updates, cost breakdown, child-part cost tree, BOM at SOP, commodity risk, forex risk, benchmarking, EBON data, imported part block/actual pricing, dashboards, and AI queries.
Technical Change Evaluation	AEKO/AWE/AeA change request upload, document reading, technical evaluation sheet, AEKO coordinator assignment, buyer evaluation, supplier offer upload, MOD sheet population, reminders, approvals, dashboards, reports, and workflow logs.
Supplier Readiness Management	Part assignment to SRM users, tooling details, milestone tracking, planned/actual/amended dates, supervisor/commodity lead approval, stakeholder alerts, weekly reminders, SRM dashboards, and PPT/PDF status reports.

5. Business Process Flows

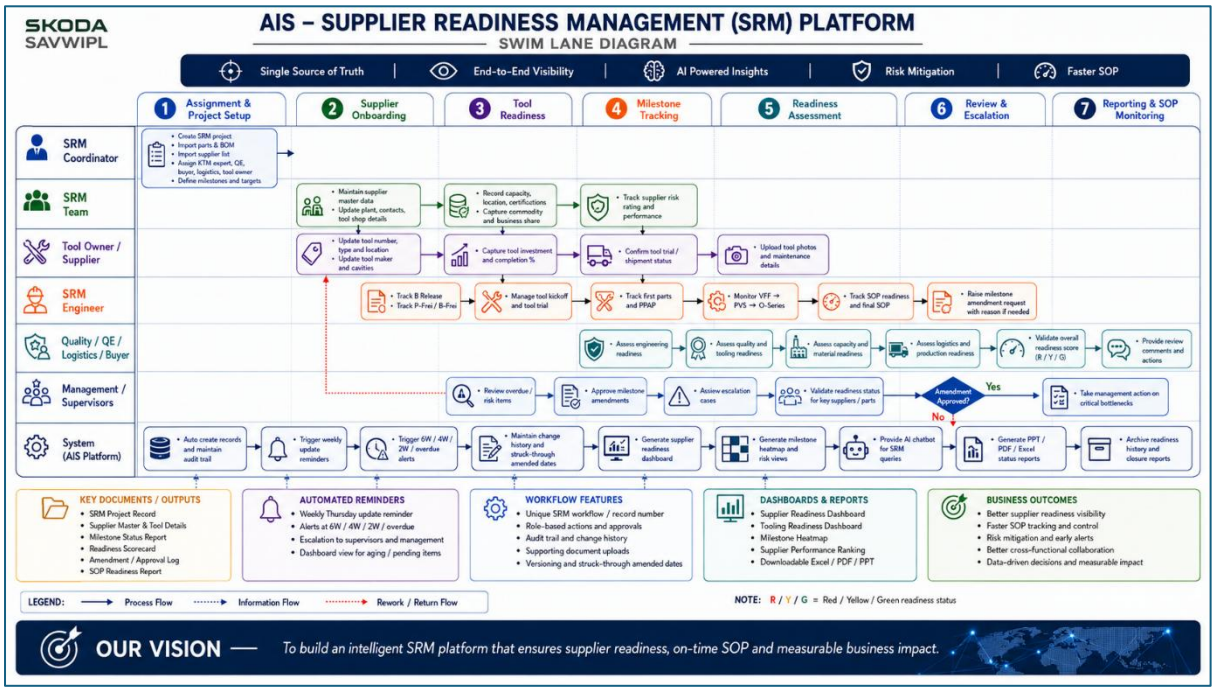
Procurement Flow



Technical change flow



SRM FLow


SKODA SAVWIPL
AIS – SUPPLIER READINESS MANAGEMENT (SRM) PLATFORM
SWIM LANE DIAGRAM
Single Source of Truth
End-to-End Visibility
AI Powered Insights
Risk Mitigation
Faster SOP
1 Assignment & Project Setup
2 Supplier Onboarding
3 Tool Readiness
4 Milestone Tracking
5 Readiness Assessment
6 Review & Escalation
7 Reporting & SOP Monitoring
SRM Coordinator
SRM Team
Tool Owner / Supplier
SRM Engineer
Quality / QE / Logistics / Buyer
Management / Supervisors
System (AIS Platform)
Amendment Approved?
Yes
No
KEY DOCUMENTS / OUTPUTS
SRM Project Record
Supplier Master & Tool Details
Milestone Status Report
Readiness Scorecard
Amendment / Approval Log
SOP Readiness Report
AUTOMATED REMINDERS
Weekly Thursday update reminder
Alerts at 6W / 4W / 2W / overdue
Escalation to supervisors and management
Dashboard view for aging / pending items
WORKFLOW FEATURES
Unique SRM workflow / record number
Role-based actions and approvals
Audit trail and change history
Supporting document uploads
Versioning and struck-through amended dates
DASHBOARDS & REPORTS
Supplier Readiness Dashboard
Tooling Readiness Dashboard
Milestone Heatmap
Supplier Performance Ranking
Downloadable Excel / PDF / PPT
BUSINESS OUTCOMES
Better supplier readiness visibility
Faster SOP tracking and control
Risk mitigation and early alerts
Better cross-functional collaboration
Data-driven decisions and measurable impact
LEGEND: Process Flow Information Flow Rework / Return Flow
NOTE: R / Y / G = Red / Yellow / Green readiness status
OUR VISION — To build an intelligent SRM platform that ensures supplier readiness, on-time SOP and measurable business impact.

6. Requirement Compliance Statement

This technical proposal is designed to be compliant with the complete RFQ requirement set for Procurement Process Digitalisation with AI — Production Material and SRM. The proposed solution covers the three core functional modules, AI and analytics capabilities, workflows, dashboards, data management, role-based access, on-prem deployment, security, training, documentation, support, and timeline expectations mentioned in the RFQ. Any final compliance dependency related to detailed templates, security annexures, integration interfaces, approval matrices, AI model selection, and data volumes will be confirmed during BRD and pre-bid clarification.

Requirement Compliance Matrix

RFQ Requirement Area	Compliance Status	How the Technical Proposal Addresses the Requirement	Clarifications / Dependencies
Procurement Digitalisation	Compliant	The proposal includes project master, exchange rate master, sourcing report ingestion, buyer/project user updates, cost breakdown capture, child-part cost tree, BOM at SOP, commodity and forex risk, benchmarking, EBON data handling, imported part block/actual pricing, dashboards, and AI query support.	Final field list, templates, upload formats, EBON scope, and data volume to be confirmed.
Technical Change Evaluation	Compliant	The proposal covers AEKO/AWE/AeA request upload, PDF/Excel reading, technical evaluation sheet generation, AEKO coordinator verification and assignment, buyer evaluation, supplier offer upload, MOD sheet	MOD sheet template, approval rules, document extraction quality, and external user scope to be confirmed.

		population, reminders, approvals, dashboards, downloadable reports, workflow numbering, document uploads, email logs, rejection logs, and approval communication.	
Supplier Readiness Management — SRM	Compliant	The proposal includes SRM part assignment, tooling readiness tracking, planned/actual/amended milestone dates, supervisor/commodity lead approval, stakeholder alerts, weekly update reminders, part/tooling dashboards, SRM status reporting, PPT/PDF output, and AI query support for readiness status.	SRM milestone list, report templates, stakeholder matrix, and amendment approval hierarchy to be confirmed.
AI Chatbot and Analytics	Compliant	The proposal includes an English AI chatbot for historical price movement, part price, material cost, investment cost, benchmarking, tooling readiness, commodity risk, forex risk, and yearly savings. It also supports text/graphical responses, forecasting, and AI-assisted PPT/report generation.	AI model option, hosting approach, training data readiness, full-load definition, and approved knowledge source to be confirmed.
Dashboards and Reporting	Compliant	The proposal includes Material Cost Dashboard, Finance/Controlling view, Investment Cost Dashboard, Investment Benchmarking	Dashboard KPIs, sample reports, visual layouts, and PowerPoint templates to be

		Dashboard, Tooling and Part Readiness Dashboard, SRM Status Dashboard, Technical Change Dashboard, Operational Dashboard, predefined reports, downloadable outputs, and PPT/PDF generation.	provided by customer.
Workflow, Reminder and Approval Automation	Compliant	The proposal includes buyer/project user reminders, Monday consolidated reminders, escalation after repeated reminders, technical change reminders from the 5th day onward, commodity price approval, SRM milestone amendment approval, EBON annual reminder, email communication logs, rejection tracking, and approval logs.	Final approval matrix, reminder frequencies, escalation hierarchy, and email server integration details to be confirmed.
Data Management and Uploads	Compliant	The proposal supports master data, transactional data, historical data, Excel upload, mass upload, email-based upload, manual data entry, historical data prefill, random project upload for benchmarking, BOM at SOP upload, supplier offer upload, and governed central repository design.	Data quality, data ownership, migration scope, historical file formats, and cleansing responsibility to be clarified.
User Roles and Access Control	Compliant	The proposal includes role-based access for buyers, project managers, SRM	Final user list, role-permission matrix, external

		users, approvers, finance users, admin users, heads, and restricted external technical change users. SSO/PKI authentication and controlled access are included in the architecture.	user access rules, and SSO/PKI integration method to be confirmed.
Technical Architecture and On-Prem Deployment	Compliant	The proposal includes customer-controlled on-prem deployment, separate Dev/Test/UAT/Production environments, application layer, workflow layer, AI/analytics layer, data/integration layer, monitoring, backup, operational dashboard, and mobile/iPad/laptop access considerations.	Server sizing, database selection, network access, AI hosting, backup policy, and infrastructure responsibility to be finalized.
Security, Privacy and Compliance	Compliant with dependency	The proposal includes SSO/PKI, role-based access, encryption, audit logs, secure data handling, controlled access, and alignment with VW Group security expectations and Information Security Guidelines for Suppliers.	Detailed Annexure A security controls must be reviewed before final compliance confirmation.
Training and Documentation	Compliant	The proposal includes user training after UAT, user manual before go-live, video tutorial before go-live, FAQ before go-live, adhoc training support, and stabilization support after go-live.	Training batch size, user groups, training mode, and language expectations to be confirmed.

Timeline and Delivery Methodology	Compliant with dependency	The proposal aligns with the RFQ expectation of go-live within four months from order confirmation including UAT, followed by one month stabilization. Agile delivery methodology, BRD preparation, design, development, UAT, training, go-live, and stabilization phases are included.	Timeline depends on BRD sign-off, data readiness, infrastructure availability, AI model selection, integration approvals, and customer response time.
Support and SLA	Compliant with clarification	The proposal includes post-go-live support, AMC/support approach, incident and escalation management, model maintenance, annual upgrade consideration, and alignment with 10 hours × 5 days support and 99.9% uptime requirement.	Clarification required on Basic vs Critical incident response times, SLA exclusions, planned downtime, and infrastructure dependencies.
Commercial Structuring Support	Compliant	The technical proposal is aligned with the commercial proposal structure for three modules, two AI model options, 5-year and 10-year scenarios, AMC/support cost, one-time cost, CR rate card, and timeline including BRD.	Final commercials to be completed by commercial team based on approved scope and assumptions.

Compliance Summary

Overall, the proposed technical solution is compliant with the RFQ at a functional, technical, architectural, workflow, reporting, AI, deployment, and support level. The only areas requiring final confirmation are customer-specific annexures, detailed templates, exact approval matrices, infrastructure sizing, AI model selection, integration feasibility, data quality, and SLA interpretation. These items should be

tracked as clarification points and finalized during pre-bid discussions and BRD workshops.

7. Key Workflows Proposed

- Master data creation and update workflow.
- Sourcing report upload, extraction, validation, and update workflow.
- Buyer/project user data update reminder and escalation workflow.
- Commodity price update and approval workflow.
- BOM at SOP upload and part applicability workflow.
- Imported part block price to actual SOP price workflow.
- Technical change request intake and AEKO coordinator assignment workflow.
- Buyer evaluation, supplier offer capture, and commercial impact update workflow.
- MOD sheet auto-population and overwrite workflow.
- Change request approval workflow for part, supplier, price, business share, and technical changes.
- SRM part assignment, milestone update, milestone amendment, and approval workflow.
- Weekly SRM update reminder and milestone alert workflow.
- AI chatbot query and AI-assisted PPT/report generation workflow.
- Email communication, rejection tracking, and audit log workflow.

8. AI and Analytics Approach

- AI chatbot in English for business users.
- Query handling for historical price movement, part price, material cost, investment cost, benchmarking, tooling readiness, commodity risk, forex risk, and yearly savings.
- Text and graphical responses based on available structured and historical data.
- Forecasting support for commodity risk, forex risk, cost-saving opportunities, and steel price trends.
- Predefined and free-flow PowerPoint generation using approved templates.
- Response target of less than 30 seconds under defined full-load conditions, subject to final infrastructure sizing and data volume.
- Two AI model options to be supported commercially: vendor AI model and SAVWIPL-provided AI model.
- Global search across the platform — a single natural-language search bar available from any screen that lets users query parts, suppliers, technical changes, SRM milestones, and historical records across all three modules,

powered by the same semantic search and retrieval engine used for chatbot queries.

AI Capability Verification

The AI and Analytics scope above has been internally reviewed against the complete RFQ requirement set and verified as covering all required AI capabilities, with no functional gaps identified: conversational AI chatbot (English, sub-30-second response, text and graphical output), forecasting (commodity risk, forex risk, yearly savings, and cost-saving potential), document reading and structured extraction (technical change documents, MOD sheet population), presentation/report generation (predefined templates plus AI free-flow), and semantic search / cross-project benchmarking over historical data, including a global, cross-module search bar spanning procurement, technical change, and SRM records.

AI Model and Licensing Approach Confirmation

The AI model layer is proposed on the OpenAI API Platform under an Enterprise Agreement (not ChatGPT Enterprise seats), with GPT-5.4 as the primary chat/reasoning/vision model, GPT-5.4-mini for high-volume/simple tasks, and text-embedding-3-large powering retrieval-augmented search and semantic benchmarking. Forecasting (commodity risk, forex risk, savings, and price trends) will continue to run on dedicated ML/time-series models rather than the conversational AI model. This is our recommended model selection; the final choice will be mutually discussed and confirmed with the customer during BRD, and any change to the selected model after this stage — including a switch to a different vendor or model tier — may carry a cost impact, to be evaluated jointly at that time.

AI Cost Basis (Planning Estimate)

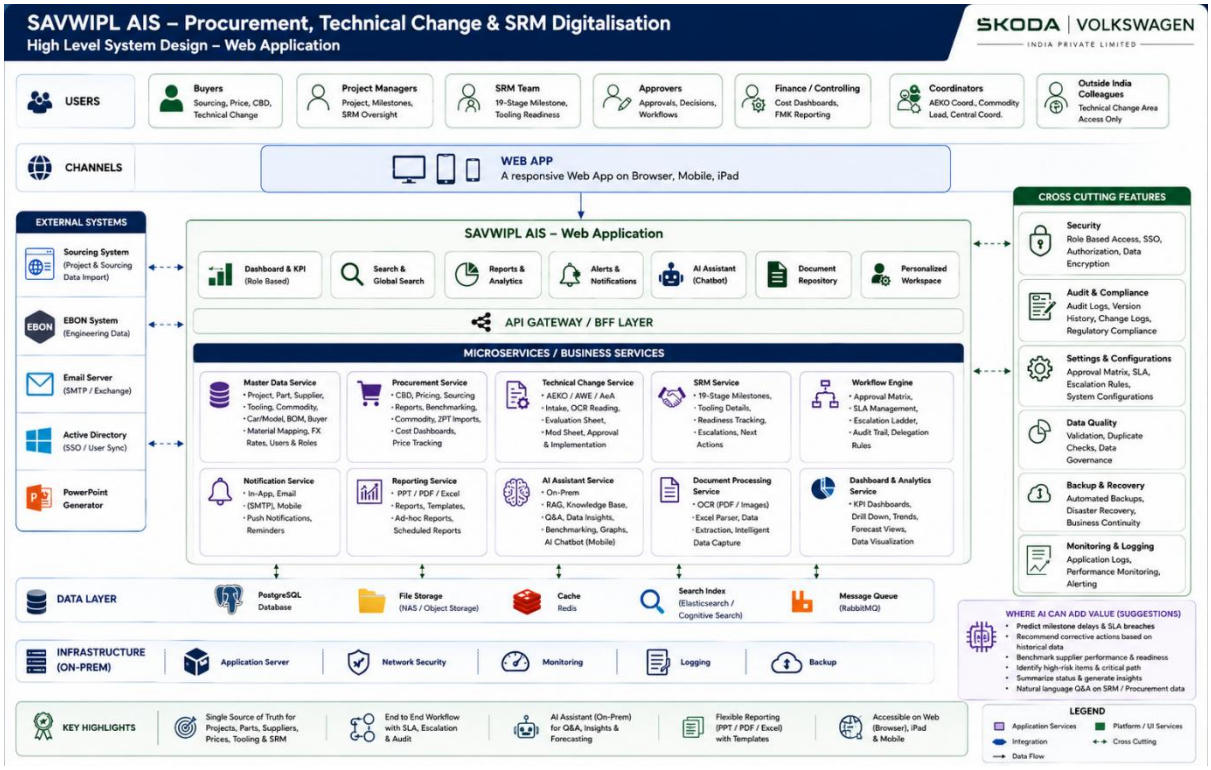
A higher-side planning cost estimate has been prepared internally for the AI consumption cost associated with the chatbot's SLA-critical response path, based on the full planned user base, a contingency buffer for usage growth, and a priority service tier to help meet the sub-30-second response requirement. This estimate covers AI token/consumption cost only and excludes infrastructure, development effort, and any AI vendor enterprise agreement minimum commitment. Detailed figures are maintained with the commercial team and will be presented as part of the final commercial submission.

AI Governance and Quality Assurance

To ensure AI outputs remain accurate, secure, and auditable in production, the following governance practices are proposed alongside the AI and Analytics scope:

- **AI Evaluation** — chatbot and report-generation outputs will be periodically evaluated against a curated set of representative business questions, scored for accuracy and relevance before any prompt, model, or knowledge-source change is promoted to production.
- **Model Drift Monitoring** — AI response quality and forecasting accuracy will be monitored over time to detect degradation caused by underlying data changes or model updates, triggering re-validation when thresholds are breached.
- **Usage and Costing** — token/API consumption will be tracked per user and per query type, feeding into the cost basis already presented and supporting ongoing optimization (e.g., prompt caching, model-tier routing).
- **Back Testing** — forecasting models (commodity risk, forex risk, steel price trends) will be back-tested against historical data before go-live and on a recurring basis thereafter to validate predictive accuracy.
- **Feedback Governance** — users will be able to flag incorrect or unhelpful AI responses; flagged items will be reviewed and fed back into prompt, retrieval, or data-source improvements, consistent with the principle that AI outputs are based only on approved, structured business data.
- **Regression Suite** — a fixed set of representative queries/prompts will be re-run as an automated check before any change to models, prompts, or the underlying knowledge base ships to production, to catch quality regressions early.
- **Role-Aware Retrieval** — the retrieval layer will honor the same role-based access control as the rest of the platform, so chatbot and semantic search results are scoped to what the querying user is authorized to see.
- **Citations** — chatbot and AI-generated report/PPT outputs will reference the underlying records (e.g., part, project, or report ID) they are grounded in, so figures can be traced back to source data.
- **Model Training** — the solution uses pre-trained foundation models accessed via API, combined with retrieval-augmented generation over the customer's own data; the underlying models are not fine-tuned or trained on customer data unless separately agreed and scoped.

9. Overall System Architecture



Technical Architecture and Deployment Approach

- Preferred deployment model: on-premises.
- Separate Dev, Test, and Production environments.
- SSO/PKI-based authentication and role-based access control.
- Email server integration for notifications, reminders, approval communication, and logs.
- Compatibility with official laptop, iPad, and mobile access for permitted users.
- Central database/repository for procurement, SRM, technical change, and AI knowledge data.
- Security and encryption aligned with VW Group and supplier information security guidelines.
- Operational dashboard for monitoring solution usage, workflows, and health indicators.

Technical Architecture and Deployment Approach Diagram

Layer	Architecture Components	Purpose
User Access Layer	Official laptop, iPad, mobile browser, internal users, restricted external technical change users	Provides controlled access to procurement, SRM, technical change, dashboard, and AI chatbot capabilities.
Authentication and Security Layer	SSO/PKI, role-based access control, encryption, audit logs, VW Group security controls	Ensures secure login, controlled permissions, traceability, and compliance with information security requirements.
Application Layer	Procurement Digitalisation module, Technical Change Evaluation module, Supplier Readiness Management module	Hosts the core business modules, workflows, data entry screens, approvals, reminders, and user actions.
Workflow and Notification Layer	Email server integration, reminder engine, approval workflow engine, escalation engine, communication logs	Automates reminders, approval routing, escalations, rejection tracking, and workflow communication.

AI and Analytics Layer	AI chatbot, forecasting engine, report generator, PPT/PDF generator, text and graphical response engine	Enables natural-language queries, analytics, forecasting, dashboards, and management-ready output generation.
Data and Integration Layer	Central database, procurement data repository, SRM repository, historical price data, Excel/email upload, possible ERP/SAP/EBON integration	Stores structured and historical data and supports data ingestion, validation, migration, and external system connectivity where applicable.
Infrastructure Layer	On-prem servers, Dev/Test/Production environments, backup, monitoring, operational dashboard	Provides secure hosting, environment separation, operational monitoring, and deployment control.

Diagram Flow: Users access the system through official devices. Authentication is handled through SSO/PKI and role-based access control. After login, users interact with procurement, technical change, and SRM modules. Business workflows trigger notifications, reminders, approvals, and escalations through email integration. AI and analytics services consume structured data from the central repository to provide chatbot responses, dashboards, forecasts, and PPT/PDF reports. The complete platform is hosted on customer-controlled on-prem infrastructure with separate Dev, Test, and Production environments.

Detailed Notes for Each Architecture Layer

1. User Access Layer

This layer defines how different user groups will access the platform. Internal users such as buyers, project managers, SRM users, finance/controlling users, approvers, and administrators will access the application through approved corporate devices. The RFQ also indicates access through official laptop, iPad, and mobile, especially for AI chatbot usage. Any access for external or outside-India users should be restricted to the technical change platform and controlled through role-based permissions and security approvals.

2. Security and Governance Layer

This layer protects access, data, and business transactions across the platform. Authentication should be handled using SSO/PKI as stated in the RFQ. Role-based access control should ensure that buyers, SRM users, finance users, approvers, administrators, and external users can access only the relevant functions and data. Encryption, audit logs, access logs, approval logs, and rejection logs should be maintained to support traceability and compliance. Final controls must be aligned with VW Group security requirements and Annexure A of the Information Security Guidelines for Suppliers.

3. Core Application Modules Layer

This layer contains the main business functionality of the solution. The Procurement Digitalisation module manages master data, sourcing reports, cost breakdowns, BOM at SOP, commodity/forex risk, imported part pricing, benchmarking, and procurement dashboards. The Technical Change Evaluation module manages AEKO/AWE/AeA requests, evaluation sheets, MOD sheets, supplier offers, approval workflows, and change logs. The Supplier Readiness Management module manages part assignment, tooling readiness, milestone tracking, amendments, stakeholder alerts, and SRM reporting. Dashboards and reports provide business visibility across cost, risk, readiness, change status, and operational performance.

4. Workflow and Notification Engine

This layer automates process control and follow-up actions. It should support buyer/project user reminders, Monday consolidated reminders, escalation to user head after repeated reminders, technical change evaluation reminders from the 5th day onward, commodity price approvals, SRM milestone amendment approvals, EBON annual purchase order update reminders, and final approval/rejection communication. Email integration is required for sending notifications, maintaining logs, and ensuring traceability of workflow communications.

5. AI and Analytics Engine

This layer enables intelligence, self-service querying, forecasting, and automated content generation. The AI chatbot should answer user questions in English using approved procurement, SRM, historical price, benchmarking, tooling, and technical change data. It should support text and graphical responses for queries such as historical price movement, part price, material cost, investment cost, tooling readiness, commodity risk, forex risk, and yearly savings. It should also support forecasting and PowerPoint/PDF report generation using approved templates. Final design should clearly separate vendor AI model responsibilities from SAVWIPL-provided AI model responsibilities.

6. Data and Integration Layer

This layer acts as the governed data foundation for the platform. It should store procurement master data, project master, exchange rate master, part master, supplier master, buyer-material mapping, sourcing report data, cost breakdown, child-part cost tree, BOM at SOP, commodity prices, car volume data, imported part pricing, investment/tooling cost data, SRM milestone data, technical change data, supplier offers, approval history, and historical benchmarking data. The solution should support Excel upload, mass upload, email-based upload, manual updates, and data prefill from historical sources. Any integration with ERP/SAP/EBON or other systems should be finalized after interface availability and customer access approvals are confirmed.

7. On-Prem Infrastructure Layer

This layer provides customer-controlled hosting for the full solution. The RFQ indicates a preferred on-premises deployment with separate Development, Test, and Production environments; a UAT environment is also recommended for business validation. Infrastructure should support application hosting, database hosting, AI/model hosting or integration, file storage, backup, monitoring, operational dashboard, email connectivity, security controls, and performance requirements. Final server sizing, backup policy, monitoring tools, network access, database selection, and AI hosting approach should be confirmed after data volume, concurrent users, AI model option, and security requirements are clarified.

8. Cross-Layer Design Considerations

- Security, auditability, and role-based access must apply consistently across all modules, workflows, dashboards, reports, and AI features.
- AI outputs should be based only on approved and structured business data to avoid incorrect or unsupported responses.
- Workflow actions, approvals, rejections, reminders, and escalations should be traceable through logs.

- Dashboards and AI responses should use the same governed data repository to avoid mismatch between reports and chatbot answers.
- Performance targets, including AI response under 30 seconds at full load, must be validated against final infrastructure sizing and data volume.
- Mobile/iPad access should be finalized based on customer security policies and approved access mechanisms.
- All integrations should be treated as dependent on customer-provided APIs, access permissions, network connectivity, and security clearance.

Deployment Environment View

Environment	Primary Use	Key Activities
Development	Build and unit testing	Module development, workflow configuration, AI integration, data model setup, and developer testing.
Test / QA	System and integration testing	Functional testing, integration testing, security testing, performance validation, and defect fixing.
UAT	Business validation	User acceptance testing, business scenario validation, sample report validation, dashboard review, and sign-off.
Production	Live business usage	Go-live, user access, real data processing, dashboard usage, AI chatbot queries, approvals, reminders, and reporting.
Stabilization / Support	Post-go-live monitoring	Issue resolution, performance monitoring, support handover, user assistance, and operational dashboard review.

Note: Final infrastructure sizing, server specifications, database selection, AI model hosting approach, backup policy, network access, and integration design will be finalized after customer confirmation on data volume, security guidelines, AI model option, and integration scope.

Architecture Validation

The proposed layered architecture has been validated against a concrete recommended technology stack, confirming it as workable end-to-end: a React 18+/TypeScript frontend (PWA-first for mobile/iPad/laptop access, avoiding a separate

native app), a Node.js/NestJS or .NET Core Web API business backend — either is workable, with the choice following the customer's existing platform standard — and a Python/FastAPI AI and Analytics microservice layer operating alongside the business backend rather than replacing it, connected through REST/gRPC APIs and an asynchronous message queue. This pattern keeps the AI layer decoupled, independently scalable, and upgradable without impacting the core transactional backend.

On the data side, a single relational database (PostgreSQL preferred, SQL Server as a fallback if the customer already standardizes on Microsoft data platforms) with a vector extension keeps transactional and AI/semantic-search data in one governed repository, supporting the semantic search and cross-project benchmarking requirement. Authentication follows SSO via SAML 2.0 / OpenID Connect against the customer's existing identity provider, layered with certificate-based device trust, consistent with the RFQ's SSO/PKI requirement. The solution is containerized across separate Dev/Test/UAT/Production environments, with centralized logging, metrics, and distributed tracing to support the operational dashboard and the sub-30-second AI response SLA.

The AI model layer itself is recommended on the OpenAI API Platform under an Enterprise Agreement, with GPT-5.4 (chat/reasoning/vision), GPT-5.4-mini (high-volume/simple tasks), and text-embedding-3-large (retrieval-augmented search) as the proposed model mapping — consistent with the AI Model and Licensing Approach Confirmation in Section 9. This sits within the two-option commercial structure already presented (vendor AI model or SAVWIPL-provided AI model); the final model selection will be mutually discussed and decided with the customer, and any change to the recommended model after this stage may carry a cost impact that will be assessed jointly at that time.

Infrastructure Sizing, Provisioning, and Hardening

- **Sizing** — compute, memory, and storage for the application, database, and AI microservice layers will be finalized based on confirmed user counts, concurrent load, and data volume, with separate sizing profiles for Dev, Test/QA, UAT, and Production.
- **Provisioning** — environments will be provisioned using infrastructure-as-code (e.g., Terraform/Ansible) to ensure consistent, repeatable configuration across all four environments and support faster environment refreshes during the project.

- **Installation** — the application, business backend, and AI microservices will be deployed as containerized services (Docker, with Kubernetes considered only if scale or operational maturity later justifies it), simplifying installation and version rollback.
- **Hardening** — servers and containers will be hardened to a security baseline (OS-level hardening, minimal attack surface, patch management, network segmentation) aligned with VW Group and the Information Security Guidelines for Suppliers (Annexure A), to be finalized once the detailed annexure is reviewed.

10. Security, Privacy and Compliance

The solution will follow role-based access control, SSO/PKI authentication, data security, encryption, audit logging, and controlled access to sensitive procurement and supplier data. Final security design and compliance response will be aligned with Annexure A of the Information Security Guidelines for Suppliers and VW Group requirements once the detailed annexure is reviewed.

11. Project Management

Project Delivery Approach

Phase	Key Activities
Discovery and BRD	Requirement workshops, process understanding, data assessment, BRD preparation, BRD review, and BRD approval.
Design	Functional design, technical architecture, workflow design, dashboard design, security design, and data model definition.
Agile Development	Sprint-based development of modules, workflows, dashboards, AI features, integrations, and reports.
Testing and UAT	System testing, integration testing, user acceptance testing, defect fixes, and sign-off support.
Training and Go-Live	User training, user manual, video tutorial, FAQ, production deployment, and go-live support.
Stabilization	One-month stabilization support, issue resolution, monitoring, and handover to support team.

Project Execution

As we consider this assignment to be a one-time activity, we will not follow traditional project management / execution methodology. We will ensure timely feedback from the client to get better visibility of project completion.

Project Methodology

The project will be broadly divided multiple phases as defined in the diagram below. However, ITCube will define the concrete final sprints during build phase and at the end of each sprint, a demo to client will be planned to instill confidence and showcase the progress of the project.

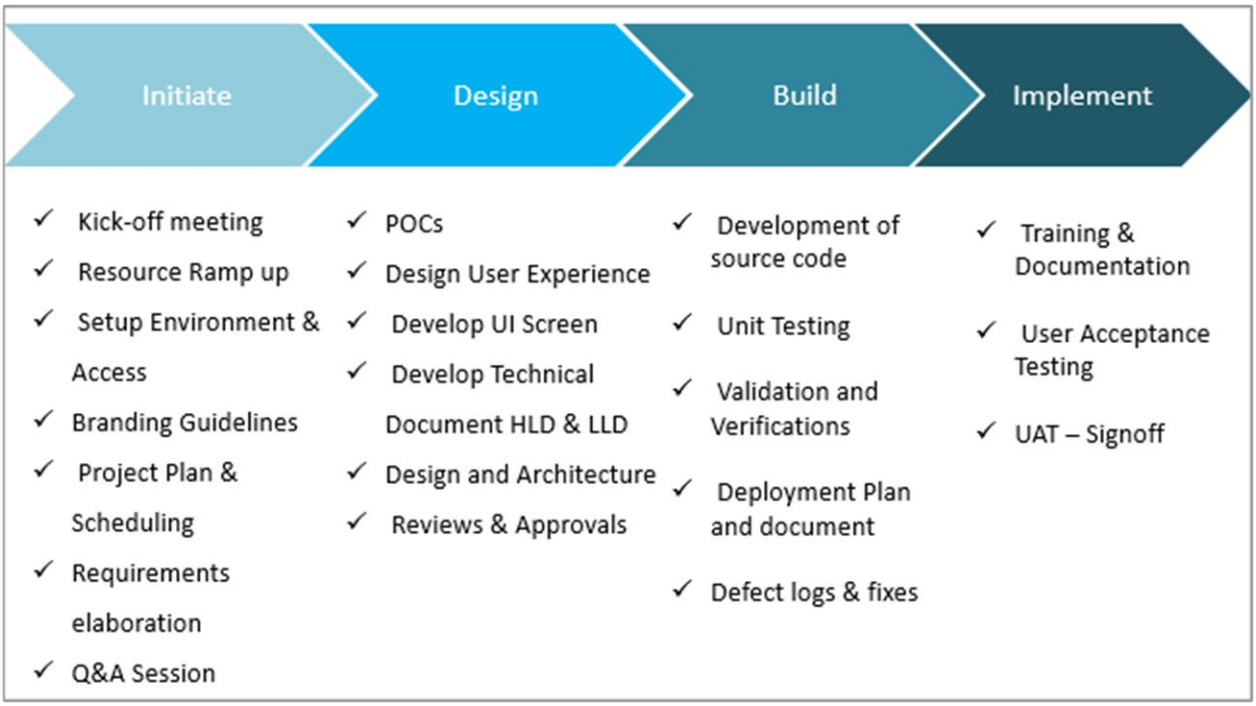


Exhibit 2.0 – Project High Level Phases

ITCube will deploy the team at the client side for requirements gathering and analysis. The team will meet the business users and will discuss, conduct interviews and go through the existing systems for interfacing requirements. Thereafter, we will prepare the following document:

1. Functional Design Specifications
2. Revised Estimation (if any)

ITCube will execute this project using Agile Scrum methodology; we will define sprints. ITCube will have developed components demo after every sprint. ITCube will further define release cycle, and each release cycle will cover multiple sprints.

We have opted for an agile/scrum delivery model, where every two weeks, we will deliver 2-3 reports. This way, the client can start using the reports immediately and will not have to wait for the completion of the project to benefit from them. Our overall objective is to introduce a modern reporting approach, as opposed to conventional Excel-based reports

ITCube will define product backlog using functional specification document. ITCube's BA and PM will define priority of product backlog and based on priority and team capacity, the team will select feature(s) from product backlog. As a part of the sprint planning

meeting, the team will decide features which will be taken within the sprint. Team will further breakdown features into one or multiple tasks and individual members can take up these tasks. There will be a daily scrum meeting where the team will discuss about what was done yesterday, was there any impediment and what will be done today. Based on this input PM will update sprint burn down chart.

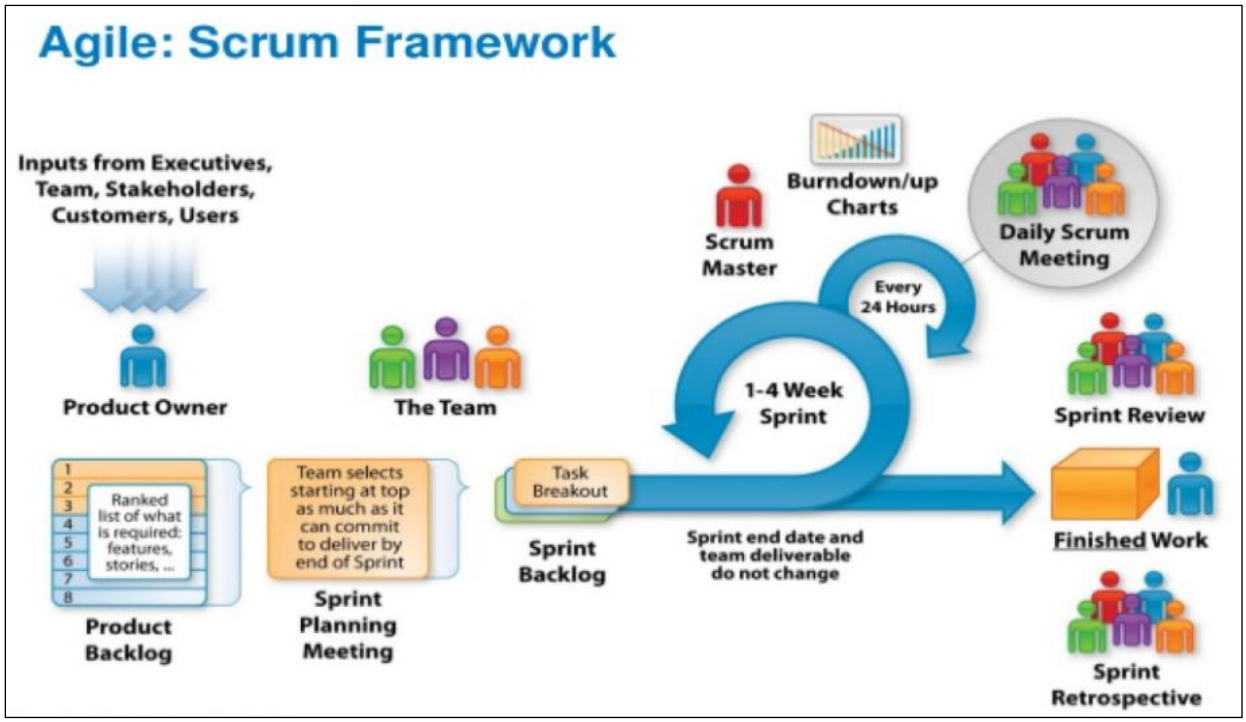
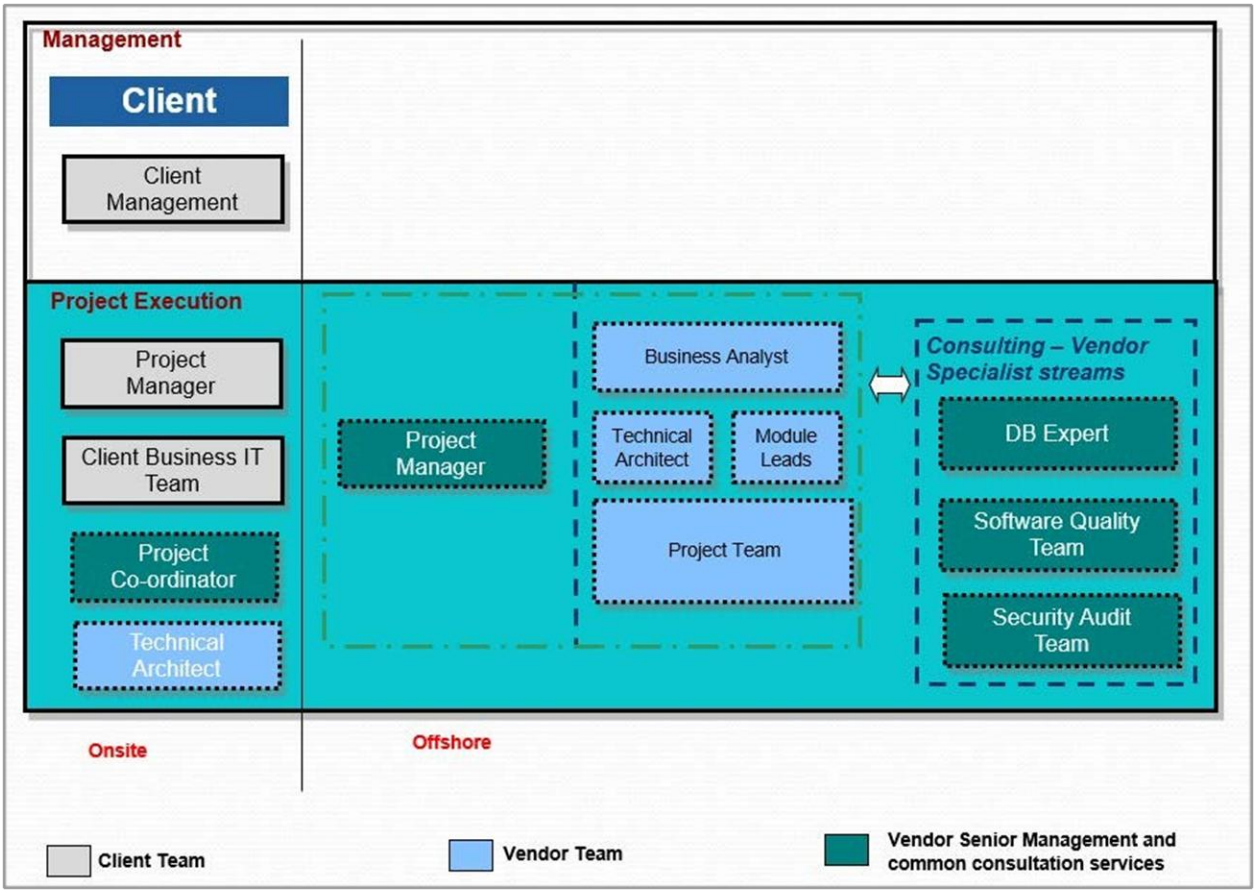


Exhibit 3.0: Scrum Framework

At the end of each sprint, team will have sprint review meeting where team will demo features to Client. Team will also have sprint retrospective meeting where team will discuss what went well and what went wrong, what all practices needs to be continued and what needs to be stopped.

Quality Management

Project Operation Structure:



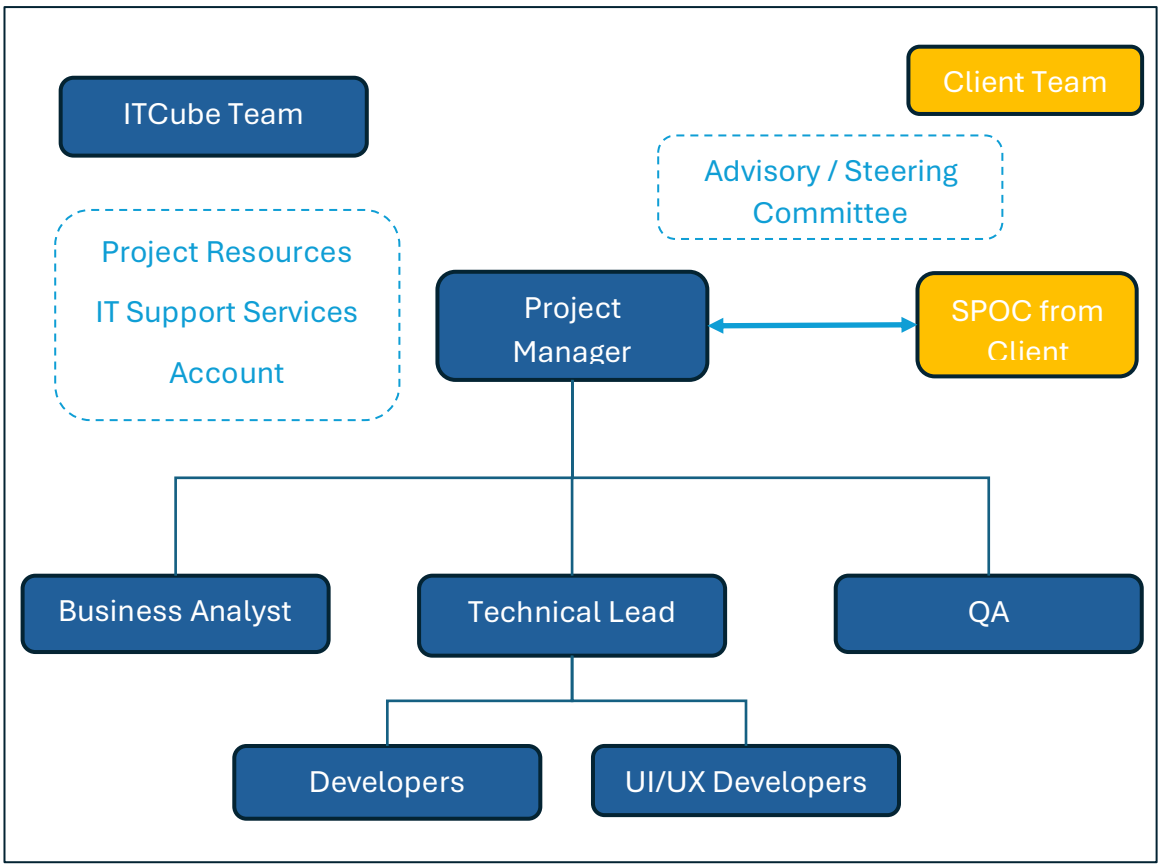
ITCube ensures required level of quality achieved for each deliverable throughout project life cycle. From Initiation, Planning and Execution, testing till UAT Sign Off.





Project Organization Structure

Project Organization Chart



Following are detailed role and responsibility:

1. Project Manager (PM)

a. **Role**: The Project Manager is responsible for planning, executing, monitoring, controlling, and closing projects. They ensure the project is completed on time, within scope, and budget.

b. **Responsibilities**:

i. Define project scope, objectives, and deliverables.

ii. Create detailed project plans and timelines.

iii. Assign resources and responsibilities to team members.

iv. Manage risks, issues, and changes.

v. Monitor project progress and report to stakeholders.

vi. Ensure communication between cross-functional teams.

vii. Manage project budget and timeline.

2. Technical Architect (TA)

a. **Role**: The Technical Architect designs the overall structure of the system or application. They make high-level decisions regarding architecture and guide the development team in implementing them.

b. **Responsibilities**:

i. Define the technical roadmap and system architecture.

ii. Choose appropriate technologies, frameworks, and tools.

iii. Collaborate with stakeholders to understand business needs and translate them into technical requirements.

iv. Ensure system scalability, performance, and security.

v. Provide guidance on complex technical issues.

vi. Approve architectural designs and documentation.

vii. Conduct code reviews and ensure best practices are followed.

3. Technical Lead (TL)

a. **Role**: The Technical Lead oversees the development team and ensures the project's technical aspects align with the architecture. They serve as the bridge between developers and technical architecture.

b. **Responsibilities**:

i. Lead the development team and assign tasks.

ii. Provide technical expertise and mentor developers.

iii. Ensure coding standards, guidelines, and best practices are followed.

iv. Conduct code reviews and oversee integration.

v. Help resolve technical challenges and impediments.

vi. Collaborate with Technical Architect and PM to ensure project alignment.

vii. Ensure the team adheres to timelines and deliverables.

4. Developer (Front-end/Back-end)

a. **Role**: Developers write the code that turns the system's design into a functional application. They handle both the front-end (UI) and back-end (business logic, server) development.

b. **Responsibilities**:

i. Write clean, scalable, and efficient code.

ii. Follow project coding guidelines and standards.

iii. Implement front-end and back-end features as per design and specifications.

iv. Collaborate with other team members on design and functionality.

v. Conduct unit testing and debugging.

vi. Participate in code reviews and integrate feedback.

vii. Work closely with UI/UX designers and QA for seamless integration.

5. Database Developer (DB Developer)

a. **Role**: The Database Developer focuses on designing, implementing, and maintaining the database systems to ensure data availability, integrity, and security.

b. **Responsibilities**:

i. Design and implement database structures (tables, indexes, etc.).

ii. Write complex queries and optimize database performance.

iii. Collaborate with developers and architects to integrate databases with applications.

iv. Ensure data integrity, backup, and recovery plans are in place.

v. Perform database tuning and maintenance.

vi. Write stored procedures, functions, and triggers.

vii. Ensure database security and handle data migrations.

6. AI/ML Engineer

a. Role: The AI/ML Engineer will design and implement the AI and machine learning components of the platform, including chatbot capabilities, predictive analytics, forecasting models, and AI-assisted report generation. The role ensures that AI outputs are accurate, reliable, secure, and aligned with approved business data and project requirements.

b. Responsibilities:

i. Design and develop AI/ML models for analytics, forecasting, and intelligent query responses.

ii. Configure and integrate the AI chatbot with approved procurement, SRM, technical change, and historical data sources.

iii. Build logic for natural-language query handling, text responses, graphical insights, and report/PPT generation.

iv. Support forecasting for commodity risk, forex risk, cost trends, tooling readiness, and savings opportunities.

v. Validate AI outputs for accuracy, relevance, and consistency with governed business data.

vi. Collaborate with the Technical Architect, developers, and database team to integrate AI services with the application and data repository.
vii. Optimize AI performance to meet agreed response-time expectations.
viii. Ensure data privacy, security, access control, and auditability for AI-enabled features.
ix. Support testing, tuning, deployment, and post-go-live stabilization of AI/ML components.

7. UI/UX Designer

a. **Role**: The UI/UX Designer is responsible for crafting the user experience and designing the user interface. They ensure the system is easy to use and visually appealing.
b. **Responsibilities**:
   i. Research user needs and conduct usability testing.
   ii. Create wireframes, prototypes, and high-fidelity designs.
   iii. Define user flows, interaction models, and navigation structure.
   iv. Collaborate with developers to ensure the design is correctly implemented.
   v. Ensure consistency in visual elements and user experience across platforms.
   vi. Optimize the design for various devices and screen sizes.
   vii. Continuously improve the design based on user feedback.

8. Quality Assurance (QA)

a. **Role**: The QA team ensures that the software meets the required standards and is free of bugs. They are responsible for testing and validating the software's functionality.

b. **Responsibilities**:

i. Develop test plans, test cases, and testing scripts.

ii. Perform manual and automated testing of applications.

iii. Identify, log, and track defects in the software.

iv. Conduct regression, functional, and non-functional testing.

v. Collaborate with developers to ensure timely bug fixes.

vi. Ensure that the application meets performance and security standards.

vii. Participate in release management and verify deployments.

Project Responsibilities

Advisory/Steering Committee

1. Will comprise of CLIENT team from onsite and, Delivery head, Delivery Manager, Project Manager from ITCube offshore location
2. Ensure Project Governance is being followed and implemented
3. Change management
4. Escalation management at project level
5. Reporting and Resource management

Account Management

1. Will comprise of Delivery Head & Sales team from ITCube and CLIENT team
2. Ensure escalations at engagement levels are addressed on time
3. Commercials reviews and approval

CLIENT Team

1. Provide feedback/approvals within 2 days after delivery
2. Provide business rules (if any)
3. Provide infrastructure for development on time
4. Provide test data (if required)
5. Prepare Master data (if required)
6. Jointly Plan with ITCube and make available users for UAT and rollout

Escalation Matrix

Below escalation matrix will be followed for escalating any project issues/information not addressed by concerned authority

Area	Level 1	Level 2	Level 3
Operational/Delivery	Project Manager	Delivery Head	CEO
Other	Delivery Head	CEO	Managing Director

Communication Matrix

Vendor team understands the importance of communication in the project and updating the progress of the project to all stakeholders is the key to success. Therefore, Vendor manager ensures that all project communication is well planned with defined templates and frequency. Below table shows the communication plan Vendor follows with its client through project life cycle.

Communication Type	Ownership	Mode	Frequency	Agenda
Status Call	ITCube	Call	Weekly	- Track Project progress - Current issues and concern (if any) - Q & A
Project -Weekly Status Report	ITCube	Email	Weekly	- Weekly progress status of the project and impediments.
Escalation	ITCube/CLIENT	Call/email	Ad-hoc	- Both ITCube & CLIENT can escalate issue that is hampering project progress
Daily Status meeting	ITCube team	Standup meeting	Daily	- This will be done within the ITCube team to review daily progress as per plan.

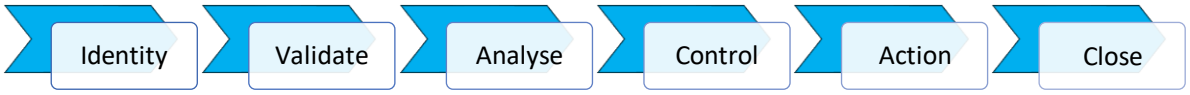
Project Risks

Below is the list of project risks that may impact the project schedule and efforts:

Sr No	Risk	Source	Probability
1	**Delay in Requirement Finalization:** Requirement finalization is key for adhering to timelines, delay will cause delay in overall delivery.	CLIENT	Medium
2	**Delay in Approvals:** Delay in approvals for BRD or Design components or Clarification of queries, may impact overall delivery.	CLIENT	Medium
3	**Availability of requested development environment:** The time required in providing the development environment may delay the development process.	CLIENT	Medium
4	**UAT:** UAT time may extend as per availability of business users and testing time	CLIENT	Medium
5	**Scope Creep:** Any scope creep after requirement stage will impact the efforts and schedule.	CLIENT/ITCube	Low
6	**Availability of SPOC:** The turnaround time in providing the input and approvals on different documents may delay the development process	CLIENT/ITCube	Medium
7	**Infrastructure:** Delay in Readiness of infrastructure (licenses, other hardware) before production deployment may impact the schedule.	CLIENT	Medium
8	**Resource Unavailability:** Due to any unavoidable situations such a medical reason, resignation etc. any resource will be unavailable, will require immediate replacement since it may impact the schedule.	CLIENT/ITCube	Medium

Change Management

The purpose of this change management process is to manage the change requests so that approved changes will be controlled, ensuring the project will remain on schedule, within budget and provides the agreed deliverables.



The following is a general guideline for change management process:

- **Identify** → Identify and document the required change
- **Validate** → Verify the change is valid and requires management
- **Analyze** → Analyze the impact of change on schedule, cost and effort
- **Control** → Decide whether to execute the change, get approval from authority
- **Action** → Execute decision, including revision of project plan, if necessary
- **Close** → Verify that action is complete and close change request

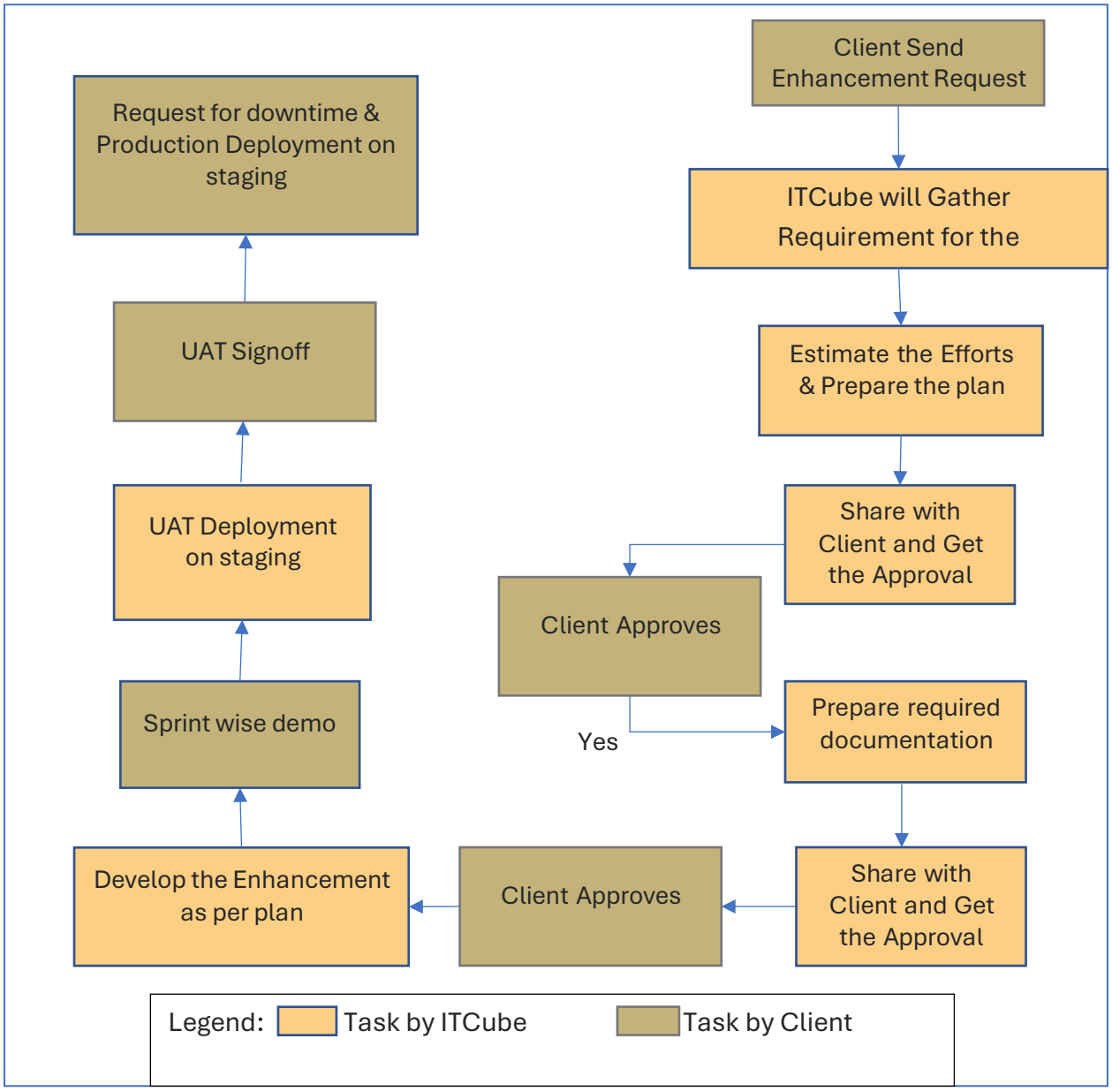


Diagram – Enhancements/CR execution process workflow

Approach to Testing and Roll out

Below diagram is a very easy to follow guideline how to deal with so-called defects and is universally applicable.



1. **Defect Prevention**: Implementation of techniques, methodology and standard processes to reduce the risk of defects.
2. **Deliverable Baseline**: Establishment of milestones where deliverables will be considered complete and ready for further development work. When a delivery is baselined, any further changes are controlled. Errors in a delivery are not considered defects until after the delivery is baselined.
3. **Defect Discovery**: Identification and reporting of defects for development team acknowledgment. A defect is only discovered when it has been documented and acknowledged as a valid defect by the development team member(s) responsible for the component(s) in error.
4. **Defect Resolution**: Work by the development team to prioritize, schedule and fix a defect, and document the resolution. This also includes notification back to the tester to ensure that the resolution is verified.
5. **Process Improvement**: Identification and analysis of the process in which a defect originated to identify ways to improve the process to prevent future occurrences of similar defects. Also, the validation process that should have identified the defect earlier is analyzed to determine ways to strengthen that process.
6. **Management Reporting**: Analysis and reporting of defect information to assist management with risk management, process improvement and project management.

12. Post go live support

ITCube Solutions will provide post-go-live support to ensure smooth adoption, operational stability, timely incident resolution, and continued performance of the deployed digital procurement platform. The support model will cover application assistance, incident handling, issue triage, escalation coordination, minor configuration support, monitoring support, and AI/ML model maintenance activities as agreed during the support handover.

Support Coverage

- Post-go-live support will be provided for up to 10 hours per week, distributed across 5 working days.
- Support availability will be limited to business working days and agreed working hours, unless otherwise agreed commercially.
- Support requests will be logged, tracked, prioritized, and addressed based on severity, business impact, and agreed SLA parameters.
- Unused weekly support hours will not be carried forward .
- Support will be provided offshore; if travel to the client location in Pune is required, the client will arrange transportation.

SLA and Availability

The proposed uptime target for the application is 99.9%, subject to customer-provided infrastructure, network availability, database availability, server health, security controls, planned maintenance windows, backup activities, and third-party or customer-managed dependencies. Planned downtime, infrastructure outages, customer network issues, force majeure events, and changes outside ITCube's control will be excluded from SLA calculation.

Incident and Escalation Management

Incident Severity	Description	Maximum Initial Response Time	Escalation Approach
Basic	General user issues, minor functional issues, configuration clarifications, reporting queries, or non-business-critical incidents.	Maximum 1 hour	Handled by the support team and escalated to the Project Manager or Technical Lead if resolution requires technical intervention.

Critical	Production-impacting issues affecting critical business operations, major workflow failure, application unavailability, or high-impact AI/reporting disruption.	Maximum 4 hours	Escalated to the Technical Lead, Project Manager, and Delivery leadership as required, with regular updates until restoration or workaround is provided.

AI/ML Model Maintenance and Updates

- Monitor AI chatbot responses, model behavior, response quality, and performance based on agreed usage scenarios.
- Support tuning or updates to prompts, rules, knowledge sources, and retrieval logic based on approved business data.
- Apply minor model configuration changes required to improve relevance, accuracy, or stability of AI-assisted responses.
- Review and update AI knowledge sources when approved and validated data is provided by the customer.
- Major AI model retraining, new model development, new data source onboarding, or significant changes to AI architecture will be treated as a change request unless explicitly included in the agreed support scope.

Support Scope and Dependencies

- Support will cover issues related to the delivered application, workflows, dashboards, reports, AI-enabled features, and agreed configurations.
- Customer will provide timely access to production logs, infrastructure teams, network teams, database teams, and relevant business users for investigation and resolution.
- Resolution timelines will depend on issue complexity, availability of required access, infrastructure readiness, third-party dependencies, and customer approvals.
- Enhancements, new reports, new integrations, major workflow changes, additional modules, or new AI capabilities will be managed through the agreed change request process.
- A formal support handover, issue logging process, escalation contacts, and reporting cadence will be finalized before transition to post-go-live support.

13. Timeline Commitment

The proposed implementation plan will align with the RFQ expectation of go-live within four months from order confirmation, including UAT, followed by one additional month of stabilization. Final timeline will be confirmed after BRD approval, data volume

assessment, AI model selection, infrastructure readiness, and clarification of integrations/security requirements.

14. Deliverables

- Approved BRD.
- Solution architecture and design documents.
- On-prem AI-enabled procurement and SRM platform.
- Procurement Digitalisation module.
- Technical Change Evaluation module.
- Supplier Readiness Management module.
- AI chatbot and analytics capabilities.
- Dashboards, reports, and PPT/PDF generation.
- Email integration and workflow notifications.
- Role-based access control and SSO/PKI integration.
- Data upload, migration, and validation capabilities.
- Training material, user manual, video tutorial, and FAQ.
- UAT support, go-live support, and stabilization support.

15. Assumptions and Dependencies

- Customer will provide detailed RFQ annexures, especially Information Security Guidelines for Suppliers — Annexure A.
- Customer will provide sample sourcing reports, MOD sheet templates, SRM reports, dashboards, PowerPoint templates, and approval matrices.
- Customer will confirm AI model selection, infrastructure availability, data volume, and deployment constraints.
- The customer will provide the UAT and Production environments in advance to prevent delays during UAT and production go-live.
- Integrations are excluded from the scope, except for those explicitly covered in the Functional Scope section of this proposal.
- Historical data quality, structure, and completeness will impact migration, AI response quality, and dashboard accuracy.
- Transaction data migration not in scope.
- ERP/SAP/EBON or other system integrations are not in scope, data will be exchange through excel uploads.
- OCR extraction for scanned PDFs, if required, will be confirmed separately.
- External user access, including supplier access, is not required; the application will be accessible only within the client environment.\

- A native mobile app is excluded from the scope; workflow approvals may be accessed through the responsive web application on a mobile browser within the restricted client environment.
- There will be predefined workflow and notification, any changes in the workflow or notification will be handled through the change management.
- Data retention and migration not included in the scope.
- Historical data profiling, cleansing not included in the scope.
- The application will not read data directly from emails; users must manually upload any Excel attachments from emails into the system, and the system will not process such attachments automatically. Similarly, user will upload/enter forex data manually into the system.
- VAPT is excluded from the scope; however, the client may conduct VAPT and share any findings. ITCube will address critical, high, and medium severity findings as mutually agreed.
- Client will take care of backup, restoration, high availability environment, disaster recovery and infrastructure requirements.
- We will follow client CI/CD practices if any or else we will do manual deployment.
- Client will take care of secrets keys, SSL certificates, licenses and dependency management.
- We will share user manual and training videos but we will not share technical deployment guide.

Additional Assumptions around AI/ML model and usage:

1. AI pricing validity assumption- AI model, token, API, subscription, hosting, and usage-based pricing is considered as per the rates available at the time of proposal submission. Any change in AI vendor pricing, model pricing, usage slabs, subscription plans, API charges, compute charges, or minimum commitment during the contract period shall be treated as a commercial change and handled through the change request process.

2. Five-year cost protection clause - AI-related recurring costs for the 5-year commercial scenarios are indicative and subject to revision in case of vendor pricing changes, model retirement, licensing model changes, usage increase, regulatory changes, customer policy changes, or infrastructure changes.

3. Model version assumption- The commercial estimate is based on the AI model/version proposed at the time of estimation. Any mandatory migration to a newer model, alternate model, private model, fine-tuned model, customer-

approved model, or enterprise AI platform due to customer policy, vendor roadmap, security requirements, or regulatory requirement will be estimated separately.

4. Token/usage assumption- The estimate assumes agreed monthly usage limits for chatbot queries, document processing, report generation, forecasting, and PowerPoint generation. Usage beyond the agreed baseline will be charged separately based on actual consumption and applicable AI/vendor rates.

5. Policy change assumption - Any change in customer AI usage policy, data classification policy, cybersecurity guideline, regulatory requirement, audit requirement, data residency requirement, or VW Group supplier security guideline after proposal submission may impact architecture, tooling, model choice, hosting approach, cost, and timeline. Such changes will be handled through impact assessment and change request.

6. On-prem AI hosting assumption - If the selected AI model requires on-prem/private hosting, GPU infrastructure, vector database, model gateway, monitoring tools, or secured inference environment, the required infrastructure and licenses shall be provided by the customer .

7. AI model retirement / deprecation assumption- In case the selected AI model, API, service tier, or pricing plan is retired, deprecated, renamed, restricted, or replaced by the AI vendor, the migration effort, retesting, revalidation, cost impact, and subscription difference shall be treated as a change request.

8. Annual upgrade limitation - One annual AI/software version upgrade is included only for minor version upgrades, patches, security updates, and compatible model/API updates that do not require architectural redesign, major regression testing, retraining, data migration, re-certification, infrastructure change, or re-approval. Any major upgrade will be estimated separately.

9. SLA dependency on AI vendor - SLA commitments for AI chatbot response time and availability are subject to AI model/vendor availability, network latency, infrastructure performance, data volume, concurrent usage, and customer-provided hosting environment. Vendor-side outage, throttling, quota limits, or API latency shall be excluded from service provider-controlled SLA.

10. Compliance revalidation effort - Any additional AI governance review, penetration testing, privacy impact assessment, data protection review, model risk assessment, security audit, or compliance revalidation requested after initial approval shall be separately estimated unless explicitly included in scope.

16. Closing Statement

ITCube Solutions is committed to delivering a secure, scalable, and business-aligned digital procurement platform that addresses the customer's requirements for procurement digitalisation, technical change evaluation, supplier readiness management, workflow automation, AI-assisted insights, dashboards, and management-ready reporting. The proposed solution is designed to reduce manual effort, improve data visibility, strengthen process governance, and enable faster, more informed decision-making across procurement and related business functions.

The final solution scope, timelines, infrastructure readiness, security controls, AI model approach, data migration requirements, and integration dependencies will be confirmed through detailed BRD workshops and customer clarifications. Based on the agreed scope and assumptions, ITCube Solutions will work collaboratively with the customer to ensure disciplined execution, transparent progress tracking, timely issue resolution, effective user enablement, and successful go-live with post-implementation stabilization support.

Confidentiality

This proposal is confidential and is for exclusive use of selected members of client only, this document is not to be circulated or published in any media.